EXTRA QUESTIONS OF HIGHER ORDER THINKING

Analysis Based

1. Suppose the price of movie tickets in a local cinema decreases significantly due to a special promotion. As a result, there is a surge in ticket sales. Analyse this situation based on the law of demand. Explain the factors that may have contributed to the increase in ticket sales.
2. A company introduces a new manufacturing technology that allows them to produce smartphones at a lower cost and with higher efficiency. Consequently, they decide to increase their production output. Analyse this situation using the law of supply and discuss the potential effects of the increased supply on the smartphone market.
3. The government decides to offer subsidies to companies that produce electric vehicles in an effort to promote clean energy usage and reduce carbon emissions. Analyse the impact of these subsidies on the supply of electric vehicles and discuss how this might influence the overall automobile market.
4. Explain the difference between fiscal policy and monetary policy, and discuss how they can complement each other to achieve macroeconomic objectives such as controlling inflation, reducing unemployment and promoting economic growth.
5. How do external factors such as advertising and cultural shifts, influence the law of demand?
6. What role do substitute and complementary goods play in the law of demand? How do they impact consumer choices and demand patterns?
7. A popular smartphone manufacturer has just released its latest model at a significantly higher price than the previous version. How will the price elasticity of demand impact the sales of this new smartphone?
8. Analyse the factors that contribute to a trade surplus in a country's current account. How might a trade surplus impact the country's exchange rate and overall economic performance?
9. How does government intervention, such as subsidies or taxes, impact the elasticity of supply for specific goods or industries?
10. How does the presence of close substitutes in a monopolistic market affect a firm's market power and pricing decisions?
11. Compare and contrast Minimum Support Price with market prices. How do these two pricing mechanisms differ, and how can they influence farmers' production decisions?
12. Compare and contrast price ceilings with price floors. How do these two types of price controls impact market outcomes differently?
13. Illustrate consumer equilibrium on an indifference map with a budget constraint. Discuss the conditions for consumer equilibrium and the significance of tangency between the budget line and indifference curve.
14. Draw an indifference map with multiple indifference curves and a budget line. Analyse the optimal choice of the consumer and the trade-offs they face.
15. Analyse the significance of the marginal propensity to consume in determining the size of the investment multiplier. How does a higher MPC result in a larger multiplier?
16. Discuss the significance of consumption as a major component of output determination. How does consumer spending influence overall economic performance?
17. Illustrate the AS-AD equilibrium graphically and discuss the significance of this point in the context of macroeconomic stability.
18. Analyse the concept of the backward-bending labour supply curve and its implications for labour market behaviour. Under what conditions might workers choose to work fewer hours as their wages increase?
19. A company is considering lowering the price of its product to increase sales. Analyse how the price elasticity of demand influences the change in total revenue following the price reduction.
20. Compare and contrast short-run costs and long-run costs in the context of a restaurant business. How do fixed costs and variable costs behave differently in the short-run and long-run?

Application Based

21. Luxury handbag manufacturers decide to increase the prices of their products significantly. Despite the price hike, they notice that the demand for their handbags has not declined and, in some cases, has even

increased. Apply the law of demand to this situation and provide possible reasons for the unexpected consumer behaviour.

22. A company introduces a ground-breaking innovation that significantly improves the production efficiency of smartphones, leading to a substantial decrease in manufacturing costs. As a result, they decide to lower the price of their smartphones. Apply the law of demand to explain how this price change could impact the demand for smartphones and the overall market for these devices.

23. A manufacturing plant produces bicycles, and they have a fixed number of workers and machinery. How might the law of variable proportions come into play if they try to increase bicycle production beyond a certain point?

24. A clothing store operates in a monopolistic market, offering unique and trendy designs. How might the store use product differentiation to attract and retain customers amidst competition from other clothing retailers?

25. Explain the concept of a black market and how it can emerge as a response to a price ceiling. Provide real-world examples of black markets caused by price ceilings.

26. In what situations would a government consider issuing callable bonds for debt redemption, and how does this option provide flexibility in debt management?

☞ Understanding Based

27. A country is experiencing a severe recession, and the government is exploring options to stimulate the economy. Outline some expansionary fiscal measures the government can undertake, and discuss their potential effectiveness in boosting economic activity.

28. The government of a country has accumulated a substantial national debt over the years. Outline the strategies the government can employ to manage and reduce its debt burden, and discuss the potential risks and benefits associated with each approach.

29. The government of a country is facing an economic downturn and has been running budget deficits for the past few years. Explain what a budget deficit is, how it is financed, and discuss the potential consequences of persistent budget deficits on the economy.

30. In the modern economy, money also acts as a standard of deferred payment. Provide examples of financial transactions that rely on this function of money.

31. Money serves as a unit of account. Describe how this function simplifies economic transactions and helps in comparing the value of different goods and services.

32. How do changes in the size of the industry or the number of producers affect the law of supply for a particular product?

33. Discuss the function of the financial sector in the circular flow of income. How do savings and investment interact through the financial sector to influence the circular flow?

34. What is the concept of imputed value and how does it affect GDP measurement? Provide examples of imputed value in the economy.

35. Why is government expenditure included in the calculation of GDP? Discuss the different types of government spending that contribute to GDP.

36. Discuss the implications of savings being equal to investment in an economy. How does this condition contribute to the equilibrium level of income and output?

37. Considering the current economic conditions, which debt redemption methods are likely to be more prevalent, and why?

☞ Evaluate Based

38. Discuss the role of advertising and branding in monopolistic competition and how it affects consumer behaviour and firm profitability.

39. Compare and contrast the efficiency implications of perfect competition and monopolistic competition. Which market structure is more conducive to consumer welfare and why?

40. Assess the effectiveness of a price ceiling in achieving its intended goals, such as protecting consumers or ensuring affordability. What are the trade-offs and unintended consequences of using price ceilings?

41. Analyse the relationship between GDP per capita and the standard of living in a country. What are the limitations of using GDP per capita as a measure of well-being?

42. Evaluate the effectiveness of fiscal and monetary policies in addressing the deflationary gap. Which policy measures are more appropriate in the context of recessionary conditions?

43. Analyse the role of public expenditure in addressing income inequality and poverty reduction. What types of government expenditures are more likely to have a significant impact on these socio-economic challenges?

☞ Remember Based

44. What is debt redemption and why is it an essential aspect of public debt management?